move is to sign up for something called an **overdraft line of credit,** which is essentially an automatic loan that kicks in to cover you. Although it's not a great deal either—the interest rate on the overdrawn amount can run to 18% or higher—it's generally cheaper than either courtesy overdraft protection or a bounced check charge.

If you opt for this plan, keep in mind that you'll probably have to make a separate payment to cover the account if you have an overdraft; not all banks will automatically use your next deposit to pay it off. Also, be aware that some banks allow you to access your overdraft line of credit via your ATM—which can actually be really dangerous. I have a friend who ran out of money and simply withdrew the $1,000 in overdraft protection via the ATM to cover the cost of a trip to France. It took her three years and more than $300 in interest to pay off the loan.

Bottom line: The only real protection is you. Make sure you don't spend more than you have.

- **Link your accounts.** If you link your checking account to a savings account (or even a low-rate credit card you have with the bank), it can automatically transfer funds to your checking account as needed. Some banks do charge transfer fees (so know what they are), but they're usually much lower than overdraft fees.
- **Avoid interest-bearing checking accounts.** Checking accounts that pay interest sound appealing, but they're often bad deals. Many require you to keep thousands of dollars in your account while paying you next to nothing. At one major bank, for example, in order to earn a pitiful 0.05%, you have to maintain a minimum balance of $10,000. At that interest rate, you'll make all of $5 at the end of a year. And that's assuming your balance doesn't dip below the required minimum—in which case you'll be dinged with a $20 fee. At the same time, by leaving your money in such a low-paying account, you're not keeping up with inflation, so you're actually losing purchasing power. (For more on beating